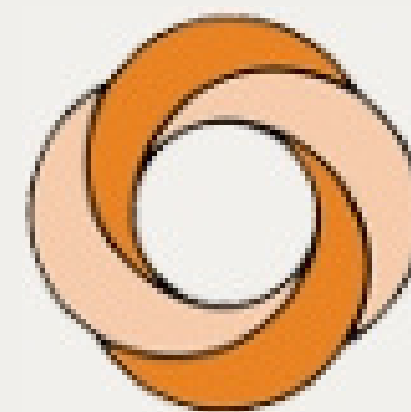
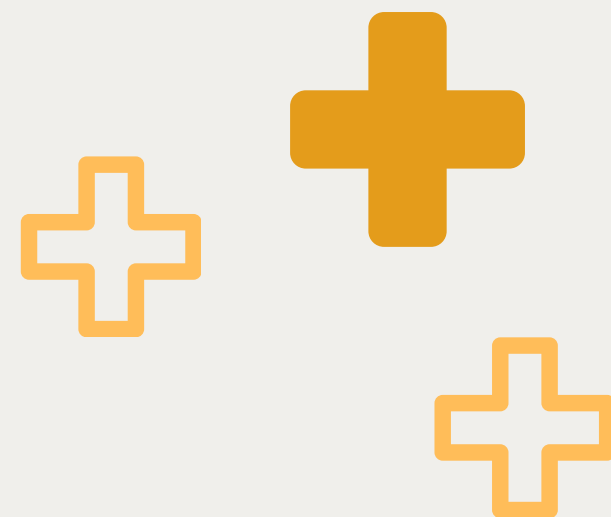




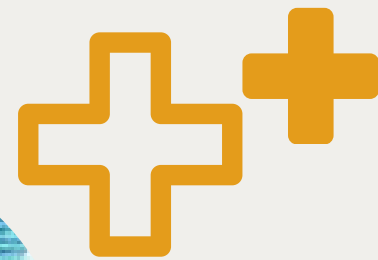
SUN
PHARMA

SUN PHARMACEUTICAL IND. LTD.



Presented by Khwahish Agrawal

PORTER'S FIVE FORCES





1.COMPETITIVE RIVALRY

Sun Pharma, one of India’s largest pharmaceutical companies, faces tough competition from several key players in the market.

Peer comparison

🌐 Healthcare > 🏥 Healthcare > 📄 Pharmaceuticals & Biotechnology > ✂️ Pharmaceuticals

Part of

BSE SensexNifty 50BSE 500BSE HealthcareBSE 100show all

S.No.	Name	CMP Rs.	P/E	Mar Cap Rs.Cr.	Div Yld %	NP Qtr Rs.Cr.	Qtr Profit Var %	Sales Qtr Rs.Cr.	Qtr Sales Var %	ROCE %
1.	Sun Pharma.Inds.	1782.20	34.29	427789.72	0.90	2709.66	13.58	14611.79	12.76	20.53
2.	Divi's Lab.	6623.00	67.05	175874.50	0.45	751.00	13.44	2831.00	9.52	21.96
3.	Torrent Pharma.	4420.90	68.31	149700.96	0.86	364.00	-20.58	4197.00	41.84	15.19
4.	Cipla	1401.30	29.76	113274.02	0.93	542.51	-54.61	6541.20	-2.80	15.49
5.	Zydus Lifesci.	1089.00	20.18	109493.07	0.09	1341.00	21.92	7587.00	16.22	21.15
6.	Dr Reddy's Labs	1278.20	25.43	106723.74	0.63	221.30	-86.14	7546.40	-11.51	13.64
7.	Lupin	2267.70	17.99	103737.35	0.53	1468.67	101.49	7474.66	31.89	30.32
	Median: 156 Co.	396.65	32.09	1686.5	0.09	13.78	22.43	184.81	16.46	15.19

SUN PHARMA COMPETITORS: WHICH COMPANIES ARE THREATENING ITS MARKET SHARE?

- CIPLA: Cipla has a robust global presence and is a major competitor to Sun Pharma in generic drugs.
- Dr. Reddy’s Laboratories: Dr. Reddy’s is another major competitor, particularly in the generics and active pharmaceutical ingredients (APIs) space
- Lupin: Lupin’s strength lies in its R&D capabilities, particularly in the development of inhalation products and biosimilars.
- Aurobindo Pharma:Aurobindo’s competitive edge lies in its vertical integration and expansive product portfolio, which competes closely with Sun Pharma’s offerings.
- Glenmark Pharmaceuticals: Its R&D-driven approach and its efforts in dermatology and respiratory treatments pose a competitive threat to Sun Pharma in these specialized markets.

Suppliers of Sun Pharma

1. Alpha Pharma Health Care limited: (leading 87% of total supply)
2. Ruhan Impex
3. Lawrence Waters
4. Moriage Generics Pvt. Ltd.

SOURCE



Supplier Power is moderate

1. Large supplier base

It sources APIs, excipient from numerous suppliers across India and globally.

2. Regulatory requirements:

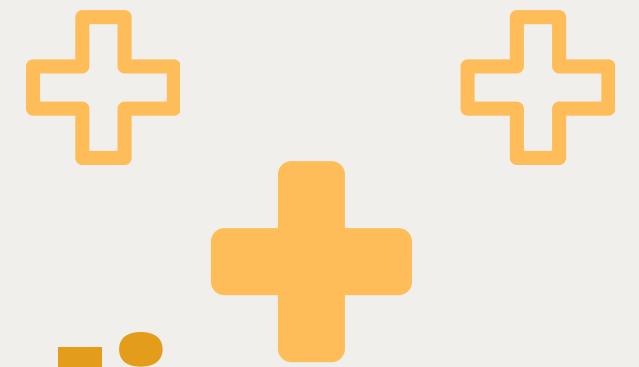
Pharmaceutical raw materials must meet strict quality standards (FDA, EMA, CDSCO, etc.).

3. Dependence on specialized APIs

Some specialized active pharmaceutical ingredients (APIs) and intermediates may have limited qualified suppliers.



2. Supplier Bargaining Power



While regulatory constraints and dependence on certain specialized APIs give some leverage to suppliers, **Sun Pharma's** scale, **diversified sourcing network**, and procurement strength largely limit supplier bargaining power.

3. Buyer's Bargaining Power

1. Large Number of Buyers (Reduces Buyer Power)

No single customer accounts for a dominant share of revenue which limits the influence of individual buyers.

Availability of Alternatives (Increases Buyer Power)

- The pharmaceutical industry has many competitors offering similar generic medicines.
- Buyers can switch between brands if prices or quality are comparable.

It's healthy **ROE i.e.16%** indicates strong profitability and brand strength, which helps reduce buyer power because buyers value reliable suppliers.

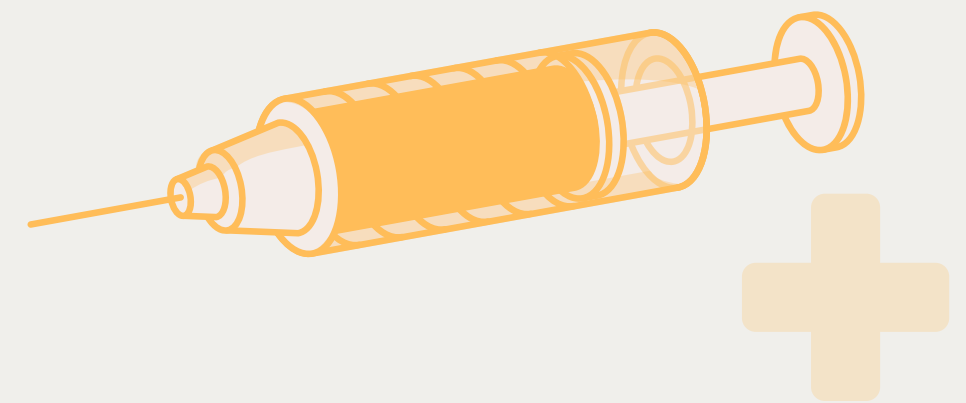
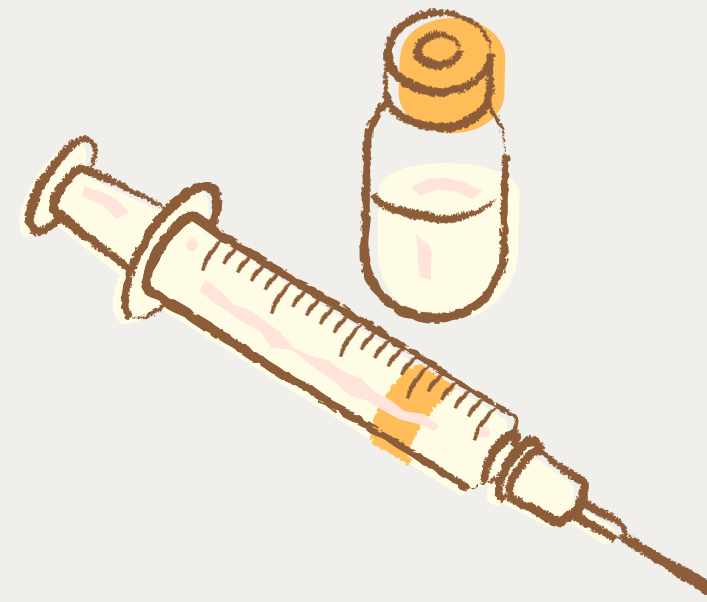
Sun Pharma has established brands and specialty medicines. For differentiated or patented products, buyers have fewer alternatives, reducing their bargaining power.



Companies such as **Cipla**, **Dr. Reddy's Laboratories**, **Lupin**, and **Aurobindo Pharma** offer substitute medicines in many therapeutic segments. Many pharmaceutical products have generic equivalents available from competitors.

- Sun Pharma has specialty products in dermatology, ophthalmology, and other advanced therapies. So, these products generally have fewer direct substitutes.
- Generic drugs create substantial substitution risk, but Sun Pharma's strong brands, specialty portfolio, physician loyalty, and regulatory barriers prevent the threat from becoming very high.

Cipla

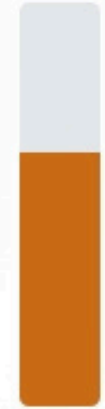


4. Threat Of New Entrants

1. PROFITABILITY SUMMARY

Sun Pharmaceutical Industries Ltd's profitability score is 63/100. We take all the information about a company's profitability, such as its margins, capital efficiency, free cash flow generating ability, and more, and consolidate it into one single number: the profitability score. The higher the profitability score, the more profitable the company is.

63 / 100



PROFITABILITY
SCORE

Due Diligence Checks:

- ✓ Exceptional Gross Margin 80%
- ✓ Strong 3Y Average Gross Margin 78%
- ✓ Gross Margin is Increasing 73% > 80%
- ✓ Healthy Operating Margin 24%
- ✓ Sustainable 3Y Average Operating Margin 23%
- ✓ Operating Margin is Increasing 21% > 24%
- View All

⦿ SUNPHARMA is **more expensive** now than it has been on average over the past 5 years. [What does this mean?](#)

- 🔍 History Conclusion **Unattractive**
- 🔍 Current Valuation 33% overvalued
- 🔍 5-Year Average 23% overvaluation
- 🔍 Average Value Growth 11%



5. Threat of substitute



For Sun Pharma, substitutes are not medicines offered by competing pharmaceutical companies. Rather, they are alternative solutions that can replace the need for pharmaceutical drugs altogether. Alternative treatments such as Ayurveda, Homeopathic, and medical procedures exist, but pharmaceutical medicines remain the most effective, trusted, and scientifically validated solution for treating most diseases.



Narrow Economic Moat

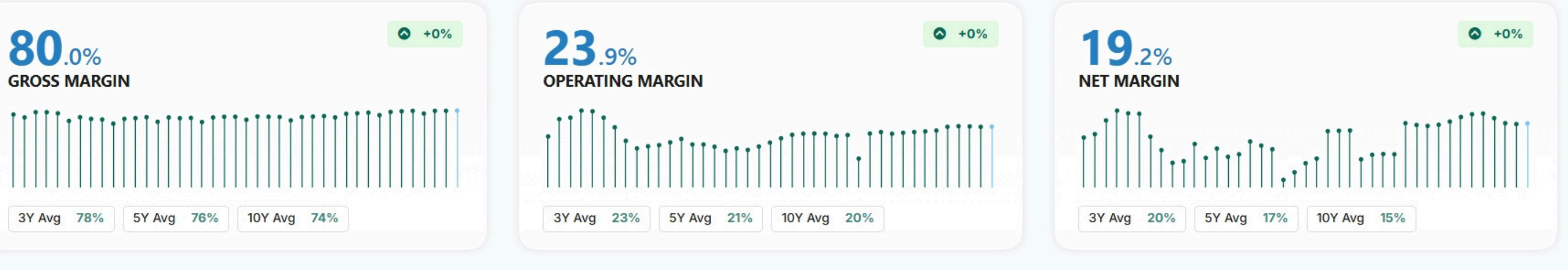
Intangible Assets

Sun Pharmaceutical Industries Ltd has a portfolio of patents and a strong brand identity in the pharmaceutical industry, which helps protect its unique products and market position, keeping competitors at bay.

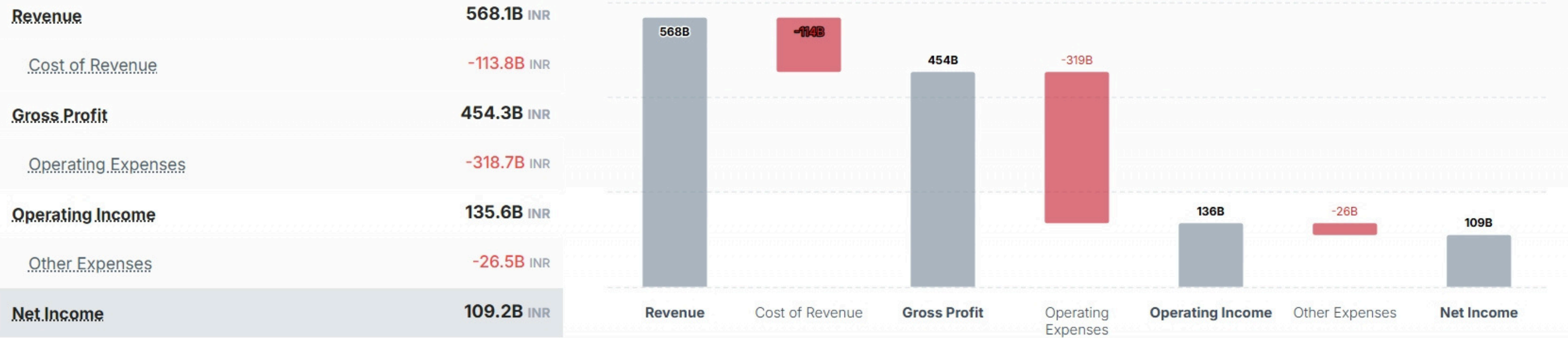
Low-Cost Production

Sun Pharmaceutical Industries Ltd has established efficient manufacturing processes and economies of scale that allow it to produce pharmaceuticals at a lower cost, enabling it to maintain profitability and competitive pricing.

2. MARGINS



Earnings Waterfall
Sun Pharmaceutical Industries Ltd





Free Cash Flow Analysis

Sun Pharmaceutical Industries Ltd



✔ For the last 3 years cumulatively, Sun Pharmaceutical Industries Ltd has a positive free cash flow. [What is Free Cash Flow?](#)

LAST VALUE

₹89_B

3-YEAR AVERAGE

₹82.4_B

FCF MARGIN

16%

CONVERSION RATE

85%



Net Income	104.5B INR
Depreciation & Amortization	27.2B INR
Capital Expenditures	-38.2B INR
Stock-Based Compensation	0 INR
Change in Working Capital	-21.8B INR
Others	17.2B INR
Free Cash Flow	89.0B INR